

Appendix: The Deal Evaluation Checklist

Print this page. Run any real business through it in under an hour. If you can't answer a line, that's your next question for the broker or seller.

The Deal

Business / Industry: _____

Asking price: _____

Stated SDE: _____

Reason for sale: _____

Part 1 — The 8 Yes/No Filter (3+ "No" = walk)

☐ SDE stable past 3 years?

☐ Reliable team in place?

☐ Covers debt AND your salary?

☐ Industry steady (not declining)?

☐ Owner replaceable w/o disruption?

☐ Books messy-but-honest (not fraud)?

☐ Revenue diversified (no client >20–30%)?

☐ Seller's reason believable?

Part 2 — The 60-Minute Read

A. SDE stability (smooth/volatile):

E. Systems (basic processes?):

B. Owner dependence:

F. Reason for sale makes sense?:

C. Customer concentration:

G. Debt coverage (afford it?):

D. Team strength (key people stay?):

H. Gut feel: _____

Owner type (circle): Exhausted / Absent / Owner-as-the-business Systems: messy / nonexistent Culture: green / red flags

Part 3 — The Underwrite

1. Normalized SDE (add back *excess* owner salary only): _____

2. Purchase price = SDE × multiple (2.0–3.0× service): _____

3. SBA debt (10% down, 90% / 10yr) → annual payment: _____

4. Your salary (what you need to live): _____

5. **CFAD = SDE – Debt – Your Salary** = _____ (neg = walk; <\$50K = tight; \$50–100K = ok; \$100K+ = healthy)

6. DSCR after salary (target 1.5×+ ; banks want 1.25×): _____

7. Stress test — drop SDE 20%, re-run CFAD & DSCR. Still positive? ☐ Yes ☐ No

8. Does this deal fit YOUR life (time, stress, spouse, goals)? ☐ Yes ☐ No

Verdict

☐ Pursue & deeper diligence ☐ Watch / revisit ☐ Walk

Underwrite as if you will NOT improve anything. Upside is a bonus, not part of the valuation.